AD-HOC OPINION · EUROPEAN LUXURY

Hermès after the third quarter: the leather core holds, the cyclical engine slows

26 October 2026 · CIO Office, Equity Team

Important notice. This note gives our opinion on Hermès after the third-quarter sales published on 22 October 2026. It relies on public information, company publications and third-party data. It contains no house price target and is not a personalised recommendation. Prices and technical levels are as of the close on 26 October 2026.

The sector: luxury split in two, even inside Hermès

Luxury is in its third year of slowdown, and the recovery will be slow and uneven. European luxury groups had lost about €330bn of market value since January by mid-October. 2024 and 2025 were meant to be years of transition; 2026 is also turning out to be disappointing.

China has gone from engine to drag. China drove the previous luxury cycle. Not only has it failed to recover after a fall of 17 to 19% in 2024 and 3 to 5% in 2025, it deteriorated again in the third quarter, partly because of the new offshore tax rules. LVMH reported weak Chinese demand, and at Hermès, Asia excluding Japan, its largest region, was flat, which implies a decline in China.

The American client is still the main engine, but slowing. Hermès grew 9% in the Americas in the third quarter, against 15% in the first half. The risk is a stock market correction that would dent the wealth effect.

Price increases are no longer enough. Less wealthy "aspirational" buyers have dropped out, and Hermès has confirmed that its 2027 price rises will be smaller than the 5 to 6% of 2026.

The line runs between scarcity and volume. The most exclusive products hold up; the categories sold in volume suffer. LVMH's fashion and leather goods division fell 5% in the third quarter. Hermès now shows the same split within one house: leather goods grew 11%, while ready-to-wear fell 2% and watches 6%.

> "It's the volume divisions that are suffering, so fashion accessories, for example, and also watches and shoes."
> Hermès CFO, third-quarter revenue call, 22 October 2026

Two engines, two behaviours. Hermès' leather goods work on a supply-constrained model, with demand still above production, and have proved acyclical again. The rest of the house behaves like the luxury sector and moves with the cycle.

What this means for investors. We still see no clear short-term catalyst for the sector without a recovery in China. For Hermès, the quarter showed that the leather core is intact, while the rest of the house slowed with the sector. The debate has moved to the price the market pays for the cyclical half.

Hermès

RMS FP

The leather core is intact, the cyclical half sets the pace

Share price	Leather goods, Q3	Group growth, Q3	P/E (expected profits)
EUR 1,278.5	**+11%**	**+4.3%**	**29.0x**
Close on 26 October	+1pt vs. consensus	vs. 5% consensus	Lowest since 2016

Technical trend	Support	Resistance	Trend changes above
Bearish, oversold	**EUR 1,162.0**	**EUR 1,500.0 / 1,668.9**	**EUR 1,668.9**

Technical levels as of 26 October 2026. Growth at constant exchange rates.

1. What the company does

Hermès runs two businesses. **Leather goods and saddlery** (Birkin, Kelly), about 47% of third-quarter sales, are made by hand in the group's own French workshops and sold with waiting lists. **The rest of the house**, from ready-to-wear and accessories (28% of sales) to silk, watches, perfumes and home, sells like other luxury goods.

2. Why it could do well

The scarcity engine is intact. Leather goods grew 11% in the third quarter, one point above consensus, driven by new models and icons. Demand still exceeds production.

Capacity keeps rising. New leather workshops open through 2030, adding about 6% of capacity a year; with price, this supports leather growth near 10%.

Growth outside China holds. The Americas grew 9%, Japan 10% and Europe 7%.

3. What sets it apart

Leather goods behave acyclically: they grew 11% while LVMH's fashion and leather goods fell 5%. Hermès grows its core without discounts or volume, with a 41% operating margin in the first half.

4. Is the share cheap?

Over 12 months the share fell more than 40% while expected earnings rose 3%: a derating, not an earnings problem. At 29.0 times expected profits, the lowest since April 2016, it trades more than a quarter below its 40x average since 2005. The cyclical half now sets the multiple.

5. Main risks

The second engine is suffering. Ready-to-wear and accessories fell 2%, silk rose only 1%, other Hermès sectors fell 1% and watches 6%. These categories move with the luxury cycle and are not recovering yet.

China. Asia excluding Japan, about 40% of sales, was flat after +3% in the second quarter, which implies a decline in China, partly linked to the new offshore tax rules.

A tougher 2027. Price increases below the 5 to 6% of 2026, no major store openings after a 1 to 1.5 point contribution in 2026, and EUR 215m of currency headwind in 2026.

The share price trend remains weak. The share fell 4.9% on the release, then broke its September low of EUR 1,298.5 and touched EUR 1,228.0 on 23 October, its lowest since October 2022.

6. What to watch next

Full-year results in February 2027: fourth-quarter growth back above 6% with Asia excluding Japan positive again, and a 2027 operating margin held near 40%. Leather growth below 8% for two quarters would signal that demand no longer exceeds supply. On the charts, the trend remains negative.

Conclusion

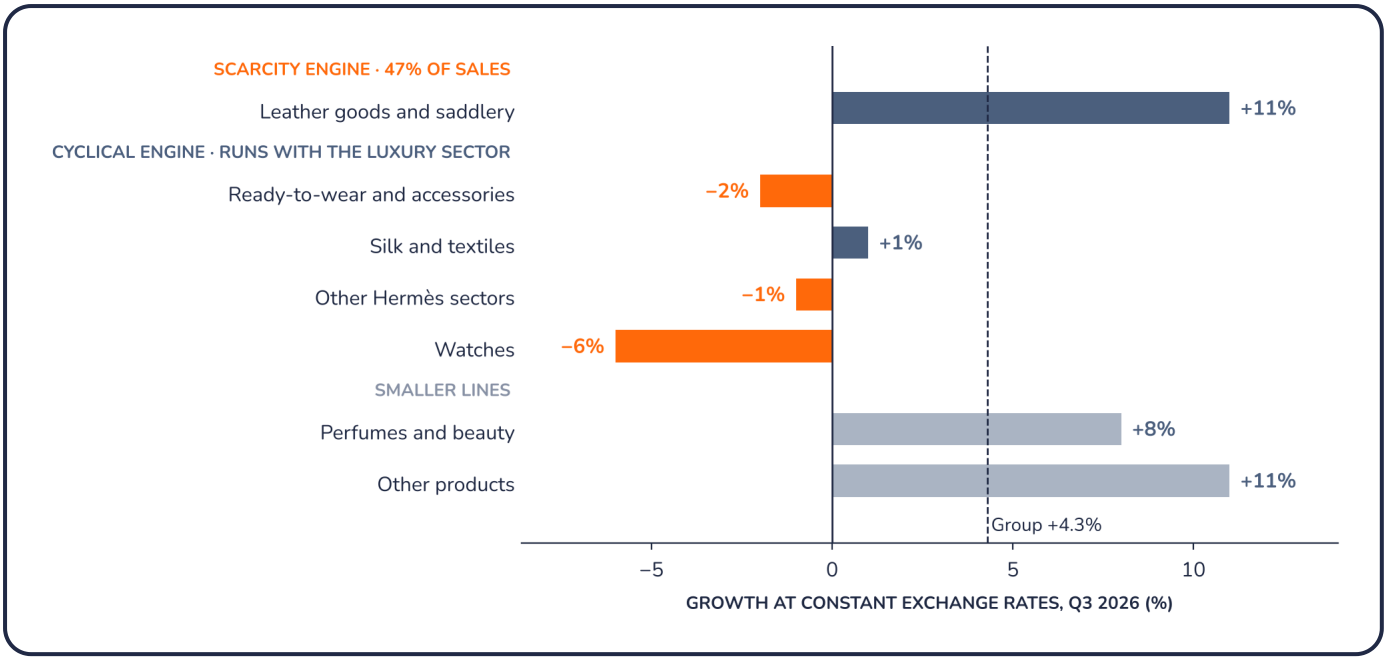
The third quarter confirmed that Hermès has two businesses. Leather goods, close to half of sales, proved their acyclical strength again, growing 11% while the sector's fashion and leather goods declined. The rest of the house, from ready-to-wear to watches, has suffered like the rest of luxury and is unlikely to recover before the sector does. The share now trades at its lowest multiple since 2016, which reflects this split rather than any doubt about the quality of the core. For an investor, the question is less the strength of the company than the time it may take for the cyclical half, and with it the share, to recover. The full-year results in February 2027 are the next checkpoint.

Hermès: charts

RMS FP

Chart 1 · RMS: two engines in the third quarter

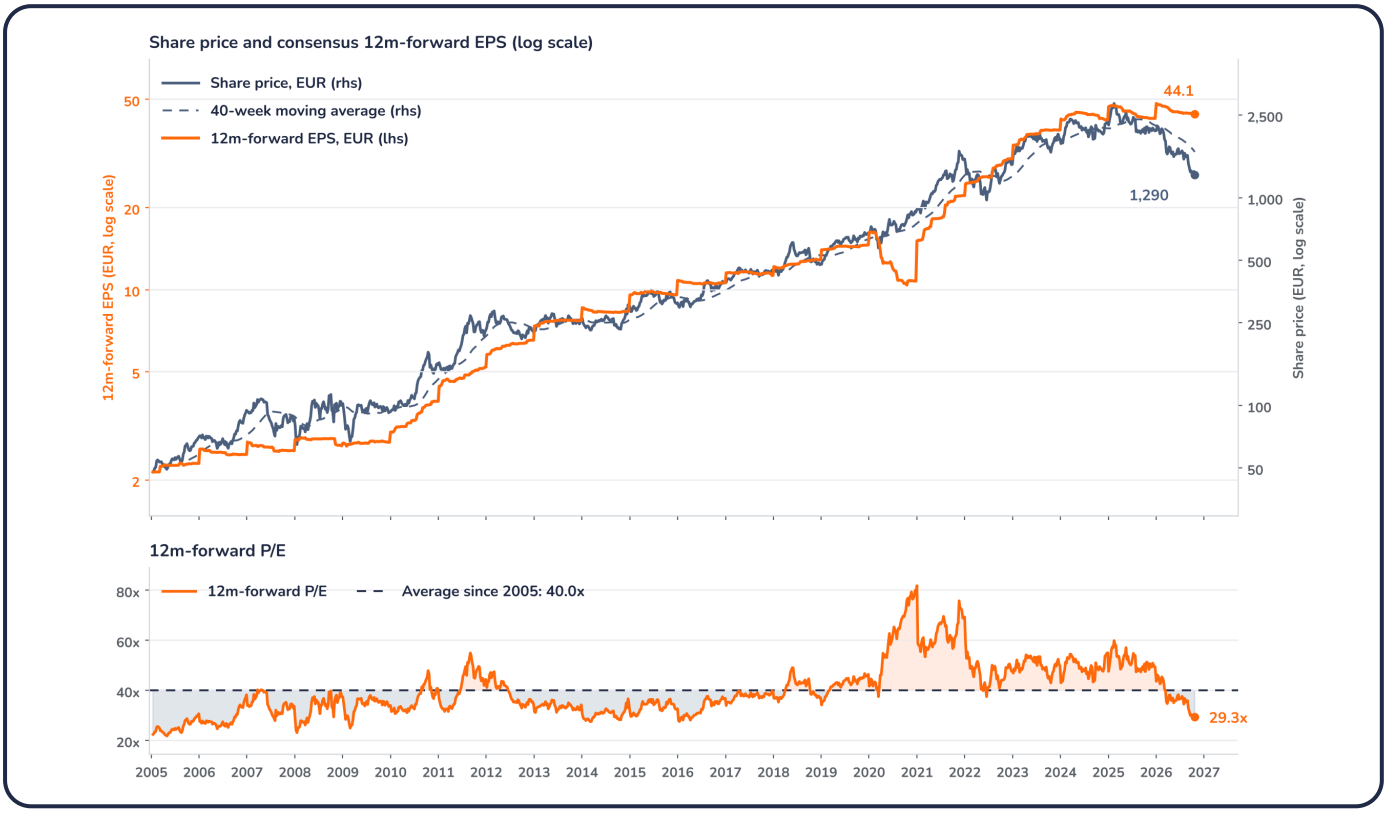
Revenue growth by division at constant exchange rates, Q3 2026 · Group +4.3% · Negative in orange



Leather goods grew 11%; the divisions that move with the luxury cycle were flat to negative. Source: Syz Research, Hermès Q3 2026 revenue release.

Chart 2 · RMS: share price vs. consensus earnings and valuation

Weekly, January 2005 to 22 October 2026 · 12-month forward consensus EPS · 40-week moving average · Log scale



Expected earnings kept rising while the share fell: the multiple fell to 29.3x on 22 October from 51.1x a year earlier (29.0x on 26 October). Source: Syz Research, Bloomberg.

Hermès: technical charts

Chart 3 · RMS: trend, momentum and relative strength

Daily · 50-day (blue) and 200-day (red) averages with Bollinger bands · Stochastic · Ratio to the Stoxx 600 with its 200-day average



The share trades below a steeply falling 200-day average and has broken its September low; the stochastic is deeply oversold, and relative strength is at a one-year low.

Chart 4 · RMS: breakout and long-term momentum

Bars blue when the 200-day average is rising, red when it is falling · Dotted lines: 100-day high and low



A new 100-day low at EUR 1,228 on 23 October; the 100-day high (EUR 1,793) has not been broken since 15 January 2026.

Charts as of 26 October 2026. Source: Syz Research, Bloomberg.

Sources

Market data, prices and valuation ratios: Bloomberg, as of the close on 26 October 2026.

Company information: Hermès International third-quarter 2026 revenue release and conference call of 22 October 2026; Hermès International first-half 2026 results; LVMH Moët Hennessy Louis Vuitton third-quarter 2026 sales.

Luxury market data: Bain & Company.

Technical analysis and charts: Syz Research, Bloomberg, Technical Takes of 26 October 2026.

Other charts: Syz Research, Bloomberg, Hermès International.

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